

Entry – When the price breaks the high of the first candle, and RSI is above 60 (for Long Trade)

When the price breaks the low of the first candle and RSI is below 40 (for Short Trade)

Results

Below is the results table when we run the back testing with different RSI levels and Initial SL levels.

RSI Reading	Initial SL	Initial Capital	Ending Capital	Accuracy	Profit Factor	Maximum Drawdown	Losing Trades (continuous)	Total Trades (10 yrs)
60 and 40	0.5 %	350,000	1,081,055	41%	1.32	14%	8	882
60 and 40	1%	350,000	904,095	51%	1.16	24%	6	882
50 and 50	0.5 %	350,000	1,126,433	40%	1.23	17%	11	1276
55 and 35	0.5 %	350,000	1,247,320	42%	1.4	10%	9	858
60 and 40	0.2 %	350,000	1,150,104	28%	1.55	10%	16	882

I have not included the trailing SL or compounding of position size based on capital increase.

System 10 – ABCD System

It is one of the oldest and simplest day trading strategies. New traders and intermediate-level traders can quickly deploy this strategy.